

Not surprisingly, foods drives ITC's FMCG business, contributing 83 per cent of the FMCG turnover and in line with how the overall industry is moving—the total FMCG pie in India is over ₹7.5 lakh crore with at least 40 per cent being the share of foods even now. Across players, innovation in foods is an obsession since that brings in disproportionate consumer mindshare and eventually higher margins. ITC's Farmlite range of biscuits is sold in little packets inside a large one. "You can eat it when you want to. Also, we realised the slightly older consumer may prefer it in limited

quantities," says Malik, who is quick to add that in foods, the product experience is critical. "Yet, that is difficult for the consumer to articulate and as a challenger, it is an opportunity if we get it right." Bingo, a key player in branded snacks, launched a 'Hashtags' version in 2019 (where the snacks are designed as hashtags) and it turned out to be a big draw among the youth. The agri value chain brings in the potato for Bingo as also fruit pulp, spices and milk for ITC's other brands. Sumant speaks of how farmers grow wheat close to where ITC has its factories. "In a business like ours, every element of the cost structure needs to be optimised and improved on a continu-

ous basis. It is a relentless exercise." In that context, the efficiency of the supply chain is a big piece. "Scale is important to get the best out of it. By putting in place integrated consumer goods manufacturing and logistics (ICML) hubs, (there are 10 such across India), our supply chain gets only more agile and robust." Shirish Pardeshi, who tracks FMCG at Centrum Broking, points out that ITC began pushing the backend story from 2012. "In FMCG, the quality of raw materials is important since it leads to product consistency. If you get it right there, you will not lose the consumer." He

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gives credit to the company's premiumisation strategy, especially in the ability to give value-added products. "The organised *atta* market is less than ₹20,000 crore in size. It [ITC] has a premium offering like Aashirvaad Sharbati *atta* [positioned as made from 100 per cent MP Sharbati wheat]. Premiumisation gives you a superior brand perception and also high levels of consumer pull." In all this, getting it spot on with communication is also critical. Nitin Karkare, Vice Chairman of FCB Ulka Advertising, the agency that handles a significant chunk of ITC's FMCG business, picks out Sunfeast (launched in 2003) to outline the strategy. "We were up against es-

tablished national players like Britannia and Parle, not to forget the multitude of regional names. Given that we were nascent, we took the decision to follow the master brand strategy during the early years to maximise the impact of our limited budgets. Glucose, Marie Light, Dream Cream, etc., were treated as product identifiers and not sub brands," he says.

MAKING THE SHIFT

To get to a leadership position in *atta*, ITC was helped in no small measure by a shift to the organised segment. At a consumer spend level, Aashirvaad is a ₹7,000-crore brand and the way India is structured, most of the *atta* market is still unorganised in nature. In many ways, the Aashirvaad brand, which sells salt, vermicelli, spices, ghee and instant meals, is trying to replicate that success in dairy, always a tough segment to crack.

With a thrust on quality, it has launched its milk in Bihar and in Kolkata, ITC's headquarters. Malik says Aashirvaad milk is more expensive than competition by around ₹4 and he claims leadership in some of Bihar's smaller centres. "We want to play the entire value chain in dairy, and the opportunity lies in low penetration of packaged products. Besides, that is the only way to be profitable." Today, Aashirvaad has a play in areas such as *paneer*, curd and *lassi*.

There have been a host of international players such as Danone, apart from domestic companies, which faced a gruelling experience in dairy. Even now, many companies choose to have a minimal presence by selling only value-added products such as fruit yoghurt and specialised cheese through third-party manufacturing arrangements. ITC, clearly, has a battle on its hands when it